

26VECV02387 26VECV02387

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Case Number: 26VECV02387 Hearing Date: August 10, 2026 Dept: 107

SUPERIOR COURT OF THE
STATE OF CALIFORNIA

COUNTY OF LOS ANGELES

NORTHWEST DISTRICT

Sarkis Papazyan,

Plaintiff.

v.

Mercedes-Benz
USA, LLC

Defendant.

Case Number Department

26VECV002387 107

COURT'S [TENTATIVE]
ORDER RE:

Motion to Compel Arbitration

[THE FOLLOWING IS A TENTATIVE RULING IN THE ABOVE CASE]:

Grant

I.

BACKGROUND

On

or about November 8, 2025, Plaintiff Sarkis Papazyan (“Plaintiff”) leased a 2026 Mercedes-Benz CLE53C4 (the “Vehicle”) from Mercedes Benz of Encino. (Complaint ¶ 2.) The Vehicle was defective. (Complaint ¶ 4.)

On

April 22, 2026, Plaintiff filed a complaint against Defendants Mercedes-Benz USA, LLC and Does 1 through 10, alleging causes of action for: (1) violation of Song-Beverly Act - breach of express warranty; (2) violation of Song-Beverly Act - breach of implied warranty; (3) violation of the Song-Beverly Act section 1793.2.

On May

28, 2026, Defendant Mercedes-Benz USA, LLC (“Defendant”) filed a motion to compel arbitration (the “Motion”). On July 24, 2026, Plaintiff filed an opposition. On August 3, 2026, Defendant filed a reply.

II.

PLAINTIFF’S

OBJECTION

Plaintiff

submits an objection to paragraph 2 of Ali Ameripour’s declaration and Exhibit 1 attached to the declaration, which is the lease agreement (the “Lease”). (Plaintiff’s Objection p. 2.) Plaintiff raises the following grounds for the objection: (1) lacks foundation and personal knowledge; (2) irrelevant and more misleading than probative; (3) improper lay opinion; (4) hearsay; (5) authentication; (6) speculative and prejudicial; (7) the declaration improperly assumes facts and is inadmissible speculation and conclusions; (8) the Lease was never clearly presented or agreed upon. (Plaintiff’s Objection pp. 2-3.)

“For

purposes of a petition to compel arbitration, it is not necessary to follow the normal procedures of document authentication.” (Condee v. Longwood

Management Corp. (2001) 88 Cal.App.4th 215, 218.) “Petitioner need only allege the existence of an agreement and support the allegation as provided in rule 371.” (Id. at p. 219, original italics.)

Plaintiff’s
objection is overruled.

III.

PLAINTIFF’S
OPPOSITION

The
court’s review of Plaintiff’s opposition noted issues, including, but not limited to, the following issues.

First,

Plaintiff refers to entities that are not involved in this matter. Plaintiff alleges in the complaint that the leasing dealership was Mercedes Benz of Encino. (Complaint ¶ 2.) Plaintiff repeatedly refers to “Mercedes Benz of Walnut Creek[.]” (Opposition pp. 6, 9, 15.) Nothing the court has reviewed indicates “Mercedes Benz of Walnut Creek” is involved in this matter. Similarly, Plaintiff refers in the opposition to an agreement with “Fletcher Jones[.]” (Opposition pp. 10, 12.) Nothing the court has reviewed indicates “Fletcher Jones” is involved in this matter.

Second,

Plaintiff misrepresents Defendant’s arguments. A significant portion of Plaintiff’s opposition is dedicated to arguing Defendant may not rely on equitable estoppel to enforce the arbitration agreement. (Opposition pp. 10-11.) Specifically, Plaintiff states “Defendant attempts to rely on the doctrine of equitable estoppel to invoke the arbitration contract in Plaintiff and MERCEDES BENZ OF ENCINO’s financing contract.” (Opposition p. 10.) Defendant’s Motion does not raise the doctrine of equitable estoppel. (See Motion.) Similarly, Plaintiff states “[i]n its Motion, MBUSA relies extensively on *Felisilda v. FCA US LLC* (2020) 53 Cal.App.5th 486 (*‘Felisilda’*) to establish that it has the standing to Compel Arbitration as a non-signatory” and “Defendant erroneously contends that it may enforce the Arbitration Provision under the equitable estoppel theory articulated in *Felisilda*.” (Opposition pp. 7, 9.) Defendant’s Motion does not cite *Felisilda*. (See Motion.)

Third,

Plaintiff relies on caselaw without acknowledging subsequent controlling authority. Plaintiff states:

More

importantly, on April 4, 2023, the Second District Court of Appeals, Division 8, Court of Appeals issued its decision in Ford Motor Warranty Cases (2023) 89 Cal.App.5th 1324 1333 ("Ford Motor"), rev. granted which rejected Felisilda v. FCA US LLC (2020) 53 Cal.App.5th 486 ("Felisilda"), erroneous rationale and application of equitable estoppel.

(Opposition

p. 6.) Plaintiff argues the court should follow the Court of Appeal's Ford Motor decision instead of Felisilda. (Opposition pp. 19-20.) Plaintiff's opposition fails to account for, or mention, the Supreme Court of California's July 3, 2025, decision in Ford Motor Warranty Cases (2025) 17 Cal.5th 1122, 1136, fn. 5, which disapproved of Felisilda.

Finally,

Plaintiff misrepresents the arbitration agreement Defendant seeks to invoke. Plaintiff states "[t]he arbitration clause provides that 'you or we' may compel arbitration of a variety of disputes . . ." (Opposition pp. 17-18.) Plaintiff further states:

The

contract, however, directly contradicts this. Only "you" and "we" - Plaintiff and MERCEDES BENZ OF ENCINO - may compel arbitration. Nowhere does it say that anyone else is entitled to that right or benefit. Defendant goes astray by making a classic mistake: "confus[ing] the nature of the claims covered by the arbitration clause with the question of who can compel arbitration." (White v. Sunoco, Inc. (3d Cir. 2017) 870 F.3d 257, 267 (White).)

Accordingly, whether MBUSA is a third-party beneficiary is a question about who the parties intended to benefit from the arbitration clause, not what claims those intended beneficiaries may arbitrate.

(Opposition

pp. 17-18.)

Defendant

submits the Lease as an exhibit. (Ameripour Declaration ¶ 4; Ex. 2 pdf pp. 15-24.) The Lease's arbitration agreement states, in relevant part:

Any

claim or dispute, whether in contract, tort, or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a "Third Party Beneficiary"), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action.

(Ameripour

Declaration Ex. 2 pdf p. 18.) Thus, Plaintiff's contention that the arbitration agreement states only Plaintiff and Mercedes Benz of Encino may compel arbitration is inaccurate.

The

court expects documents submitted to the court to accurately represent the facts in this matter, the opposing party's arguments and evidence, and the controlling authority.

IV.

LEGAL

STANDARD

The

court is empowered to compel parties to arbitrate disputes pursuant to an agreement to do so. (Code Civ. Proc., §1281.2.)

"California

law strongly favors arbitration 'as a speedy and relatively inexpensive means of dispute resolution.'" (Villareal v. LAD-T, LLC (2022) 84 Cal.App.5th 446, 455.) "[T]here is a presumption in favor of arbitrability." (Id. at p. 456.) "However, notwithstanding the policy favoring arbitration, because arbitration is a matter of consent, 'a party cannot be required to submit to arbitration any dispute which he has not agreed so to submit.'" (Id.)

Agreements to arbitrate are “valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract.” (Id.)

“Because

the existence of the arbitration agreement is a statutory prerequisite to granting the petition, the petitioner bears the burden of proving its existence by a preponderance of the evidence. If the party opposing the petition raises a defense to enforcement . . . that party bears the burden of producing evidence of, and proving by a preponderance of the evidence, any fact necessary to the defense.” (Villareal v. LAD-T, LLC, supra, 84 Cal.App.5th at p. 456, brackets removed.)

V.

DISCUSSION

The Arbitration Provision

The

petitioner bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence. (Villareal v. LAD-T, LLC, supra, 84 Cal.App.5th at p. 456.)

Defendant

argues the court should compel arbitration because Lease contains a binding arbitration provision. (Motion p. 3.)

Defendant

submits the Lease as an exhibit. (Ameripour Declaration ¶ 4; Ex. 2.) The Lease contains an arbitration provision, which states, in relevant part:

Any

claim or dispute, whether in contract, tort, or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a “Third Party Beneficiary”), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third Party Beneficiary, be resolved by a neutral, binding

arbitration and not by a court action. Any claim or dispute is to be arbitrated on an individual basis and not as a class action. The arbitration shall be administered by the American Arbitration Association, or by any other organization that you may choose, subject to our or a Third Party Beneficiary's approval. You may get a copy of the rules of the American Arbitration Association by visiting its website at www.adr.org.

(Ameripour

Declaration Ex. 2 pdf p. 18) The Lease is signed by Plaintiff. (Ameripour Declaration Ex. 2 pdf p. 20.) Plaintiff does not challenge the authenticity of the signature. Thus, Defendant meets their burden of showing a valid arbitration agreement exists.

Third-Party Beneficiary

Defendant

argues it may compel arbitration as an express third-party beneficiary under the Lease. (Motion pp. 5-6.)

In

opposition, Plaintiff argues Plaintiff's claims are not intimately founded in the Lease because Plaintiff's complaint does not reference or rely on the finance agreement and Defendant is not a third-party beneficiary. (Opposition pp. 11-14.) Specifically, Plaintiff argues the Lease's arbitration clause provides that only the Lessee and Mercedes Benz of Encino may compel arbitration. (Opposition p. 16.) Plaintiff also argues the Lease does not benefit Defendant. (Opposition pp. 17-18.)

In

reply, Defendant argues Plaintiff's argument fails because Defendant is a named beneficiary in the Lease's arbitration provision. (Reply p. 3.)

As

noted above, Plaintiff's claim that the Lease provides only the Lessee and Mercedes Benz of Encino may compel arbitration is inaccurate. Plaintiff's arguments in opposition rely upon that argument. The court need not address those arguments further because they are based upon an erroneous premise.

“The

general rule is that one must be a party to an arbitration agreement either to be bound by or to invoke it.” (Ford

Motor Warranty Cases, *supra*, 17 Cal.5th at p. 1128.) Under the third party beneficiary doctrine, the court considers: “(1) whether the third party would in fact benefit from the contract, but also (2) whether a motivating purpose of the contracting parties was to provide a benefit to the third party, and (3) whether permitting a third party to bring its own breach of contract action against a contracting party is consistent with the objectives of the contract and the reasonable expectations of the contracting parties.” (Goonewardene v. ADP, LLC (2019) 6 Cal.5th 817, 830.) “All three elements must be satisfied to permit the third party action to go forward.” (Id.)

In Ford Motor Warranty Cases, *supra*, 17

Cal.5th at pp. 1125-1126, 1128, 1138, the California Supreme Court held that the non-signatory manufacturer, Ford Motor Company, could not compel arbitration by relying on arbitration clauses in sales contracts between the buyers and seller dealerships. The Court noted that the sales contracts were between the plaintiffs and the respective dealers and “[t]here is no question here that Ford is not a party to those contracts, and plaintiffs did not expressly agree to arbitrate any dispute with Ford.” (Id. at p. 1128.)

The

Lease’s arbitration provision states Defendant is a “Third Party Beneficiary[.]” (Ameripour Declaration Ex. 2 pdf p. 18.) It further provides that Third-Party Beneficiaries may compel arbitration. (Ameripour Declaration Ex. 2 pdf p. 18.) These provisions show: (1) Defendant would benefit from the Lease; (2) a motivating purpose of the contracting parties was to benefit Defendant; and (3) permitting Defendant to compel arbitration would be consistent with the reasonable expectations of the contracting parties, because they expressly agreed Defendant could compel arbitration. Thus, the Lease’s arbitration provision meets the elements identified in Goonewardene.

The Arbitration Provision’s

Scope

Defendant

argues Plaintiff’s claims fall under arbitration clause’s scope. (Memorandum pp. 9-10.)

Plaintiff's

claims arise from Defendant's warranty and repair obligations that Defendant issued in connection with the sale of the Vehicle. (Complaint ¶ 1.) This arises out of the relationship between Defendant and Plaintiff arising out of the Lease. Thus, this matter falls within the arbitration clause's scope.

VI.

STAY

PROCEEDINGS

Defendant

requests the court stay the proceedings until arbitration is complete. (Memorandum pp. 10-11.)

Code

of Civil Procedure section 1281.4 states, in relevant part:

If a court of competent

jurisdiction, whether in this State or not, has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies.

Accordingly,

the court stays the action.

VII.

CONCLUSION

2

For the foregoing reasons, the

Motion is granted. The court stays the action pending the outcome

of arbitration.

Dated: August 10, 2026 _____ Hon. Eric Harmon

Judge

of the Superior Court